

TERAWULF INC WULF

July 29, 2026 - 11:59pm EST
by

LiveLaughLove

			2026	2027
Price:	15.09	EPS	0	0
Shares Out. (in M):	530	P/E	0	0
Market Cap (in \$M):	8,072	P/FCF	0	0
Net Debt (in \$M):	1,000	EBIT	0	0
TEV (in \$M):	9,072	TEV/EBIT	0	0

Description

TeraWulf is transitioning from one of the worst business models in the world (bitcoin mining) to a business that is generally viewed as a high-quality, defensive, above-market-multiple business (data center leasing). At this point, we think it's well on its way to proving itself as a developer-landlord of hyperscale data centers that buys power-rich sites cheaply, builds shells on them, and rents those shells out for a contracted twenty years to tenants who are either investment grade or backstopped by someone who is. Every lease signed to date ultimately serves Anthropic, so yes, you do need to believe in a baseline level of AI demand to have conviction in this investment. The market still prices the ticker like a crypto stock; what's underneath is twenty years of rent from credit-worthy tenants, secured by buildings the company owns.

We think the market is underappreciating the profitability and scale at which WULF is building data centers at. We think the stock should be worth \$40 today, more than double. The math is fairly straightforward. WULF has ~840 MW rented already and controls the power to have roughly 2 GW built and leased by 2030. A 100 MW building runs about \$1.1B to construct and, once online, produces ~\$160mm a year of unlevered free cash flow — a mid-teens yield before giving the building any credit for life beyond the lease. Roll the fleet forward and 2030 looks like ~\$4.4B of revenue and ~\$3.8B of EBITDA, with free cash flow per share (ex-growth capex) of \$2.73 in 2029 stepping to \$3.66 in 2030. Stabilized public data center REITs trade around 24x AFFO. **Put 24x on 2029 and the stock is \$66 at year-end 2029; discount back at ~15% a year and you get about \$40 today, +135%. Hold through 2030 at the same multiple and it prints \$88, a mid-40s% annual return from \$17.**

Downside Protection

What we like most is the cost of being wrong is low. Suppose we value only the leasing WULF is likely to complete by 2030, let every lease expire without renewal, and hand the buildings back worthless at the end — a pure runoff with zero credit for the platform — and the DCF still comes out near \$16 a share, 6% below the market. At \$17 you are paying runoff value and collecting every renewal, every future deal, and the platform itself for free. The genuinely draconian constructions — today's 840 MW and never another lease — sit at \$8-13, the spread between the two depending on whether the buildings are worth anything at all when the paper expires. On the other side: at ~400 MW of additions a year WULF would be growing AFFO per share faster than any REIT in the market, and a 30x multiple on 2030 makes it a \$110 stock at the end of the decade — worth \$50 to \$59 in today's money depending on how punitive a discount rate you charge the most speculative leg (19% vs. 15%). We anchor on \$50, +194%.

Scenario	Value today	vs. \$17	What you have to believe
Runoff	\$16.00	-6%	~1.8 GW leases by 2030, then nothing ever again
Runoff with 10x terminal value	\$26.80	+58%	Same leasing, assets sell at 10x at lease end
Base	\$40.00	+135%	~2 GW by 2030; market pays the REIT-comp 24x
Growth	\$50.00	+194%	Additions persist; market pays 30x 2030 AFFO

Company overview

TeraWulf is run by Paul Prager, who spent close to three decades assembling and operating power assets at Beowulf Energy and moved that bench over essentially intact — this is the only miner whose people come from power rather than finance or crypto. The legacy business was bitcoin mining at its upstate New York campus; the go-forward business is converting that power, plus newly bought sites (two Kentucky acquisitions this year), into hyperscale data centers under twenty-year leases. About 840 MW is rented to date, all of it ultimately serving Anthropic — partly direct, partly through Fluidstack structures that Google backstops — with a secured power footprint of roughly 1.6 GW and a stated cadence of 300-500 MW of new capacity per year. At \$17 the equity runs ~\$10.5B across 618mm fully diluted shares; with ~\$2.8B of cash, ~\$5.2B of gross debt, and the remaining capital commitments on signed projects layered in, enterprise value excluding construction in progress runs about \$15.3B. Management is open about the destination: a REIT conversion once the fleet stabilizes.

The thesis

The thesis rests on four legs, in descending order of importance. First, the business is far higher quality than its crypto-era volatility implies — twenty years of contracted rent on owned real assets, carrying none of the chip or GPU risk people reflexively attach to anything AI-adjacent. Second, the growth the thesis needs is modest: the miner cohort requires only a mid-single-digit slice of upcoming data center construction, in a market whose structure favors fragmentation. Third, this particular team keeps demonstrating it can find power nobody else can and lease it faster than anybody else does. And fourth, at

\$17 the price already covers the runoff value of business in hand, so everything beyond that is a free option.

1/ Quality: a landlord priced like a science experiment

The endgame here is unusually clear for a stock with the volatility it has. Once the fleet is built and rented, the questions that determine the multiple collapse to two: how good is the tenant's credit, and how tight is the market for space and power. Nothing about GPUs, ASIC cycles, or model pricing touches WULF's P&L — the tenant owns the compute problem, WULF owns the building. And the building is a small piece of the picture: about 10% of the all-in cost of owning and running compute today, falling toward 6% by 2027 because server and memory costs are climbing much faster than shell costs (a 1 GW deployment runs ~\$40B all-in today, going to ~\$66B). That smallness is the moat. When the shell is a rounding error next to the servers going into it, a rational customer pays up to know the building will be ready on time rather than grinding the last dollar of rent — a late shell costs them far more than a cheap one saves. That is what lets developers with a track record earn high-teens development yields and keeps unproven ones locked out.

The per-building economics look like this — a mid-teens unlevered return with zero terminal credit, and the revenue line escalates contractually for twenty years:

Per 100 MW (\$mm)	Year 0	Year 1	Year 5	Year 10	Year 20
Construction cost	(1,100)	-	-	-	-
Lease revenue	-	190	209	237	303
Operating cost + maint. capex	-	(31)	(33)	(39)	(49)
Unlevered free cash flow	(1,100)	159	176	198	254

Unlevered IRR is 16% assuming the asset dies with the lease, 18% if it fetches 10x cash flow at expiry.

The market already tells you what a finished version of this is worth: DLR and EQIX carry roughly 19x and 22x EBITDA (about 40x and 47x EBIT) for stabilized fleets growing ~10%. Our base case leaves WULF in the mid-teens on EBITDA at the 2030 exit while still assuming a mid-teens forward IRR; if the stock ever earns DLR's multiple, the compounding from \$17 runs roughly 30% a year through 2030. On the tenant side, we'd argue WULF holds the single best customer card in the sector: Anthropic has the largest incremental appetite for capacity, a culture of partnering with landlords rather than squeezing them, and a stated preference for running on custom silicon — Google's TPUs, Amazon's Trainium — which has to live in leased shells rather than rented neocloud capacity. It shows up in the numbers: WULF's announced deal yields sit toward the top of the peer set.

2/ The industry: a small part of a big number

This is a transdigm-esque dynamic: annual capacity additions from hyperscalers and the frontier labs are heading past 30 GW and staying there into the late 2020s. The entire miner cohort's build-out stays under 2 GW a year — our forecast sums to ~8.5 GW of miner additions through 2030, never more than about 5% of any single year's construction. That is the whole ask.

Two structural points matter. First, the demand risk is asymmetric in kind: a weak year of industry additions doesn't touch revenue already installed under twenty-year paper — it only slows the pace of new growth. Second, nothing about this market rewards concentration/scale, which lowers the barriers for new entrants like WULF. Permitting, utility relationships, and construction labor are all local; mega-campuses run into staffing diseconomies (recent channel work shows shell costs per MW rising with campus size, not falling); and sourcing US power now rewards whoever can find and lock down sites first — origination, not construction, is the scarce skill. Self-build, legacy developers, and miners can all coexist, with miners taking share even as the whole market grows: from nothing in 2024 to roughly 4% of the installed hyperscale base by 2030.

3/ BEst-In class Management

Management here we think is best in class. They have a significant expertise in power, not crypto or finance one. The core group has run generation assets together for two decades and knows the unglamorous parts of the biz cold — which regulator decides what, how local incentives really work, how slowly utilities move and where they will bend, even where to source scarce electrical gear. The one governance blemish — related-party arrangements between public WULF and Prager's private Beowulf — was extinguished when WULF simply bought Beowulf.

The measurable record backs the anecdotes. Among all the miners, only WULF and APLD have managed to both sign major leases and refill the pipeline behind them, and WULF has grown its secured power footprint more than anyone except APLD. Kentucky is the proof. In February, WULF paid \$200mm for an idled aluminum smelter carrying 400 MW of energized, ready-to-serve power — roughly \$0.5mm per MW, against the \$10-11mm per MW the data center itself costs. Five months later it leased that site with a twenty-year Anthropic lease at a high-teens development yield, worth about \$19B of contracted revenue. For perspective, CORZ and RIOT have spent more than a year showing gigawatt-scale power to the same customer universe and still have nothing to show for it. In May the company ran the play again: a second Kentucky site, ~285 acres expected to deliver 500 MW by late 2028 and scale toward a gigawatt by late 2030. The energy service agreements were in place the day the purchase closed, and AEP broke ground on the substation immediately.

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Catalyst

New Deals

Messages

Subject	Power Px
Entry	07/30/2026 04:05 PM
Member	virtualodin

You wrote -

Nothing about GPUs, ASIC cycles, or model pricing touches WULF's P&L — the tenant owns the compute problem, WULF owns the building.

Who has the upside & downside from higher or lower power prices over time?

ty!

Subject	Re: Power Px
Entry	07/31/2026 03:22 AM
Member	falcon44

correction - pretty sure Anthropic wrote that: "the tenant owns the compute problem, WULF owns the building."